

21 Expenses

9 primary questions | Oldest to newest

2026 objectives: 4.2.3, 5.1.1, 5.3.4

3 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P1 April 2007 Q7	24 marks
CA1-P1 April 2008 Q2	12 marks
CA1-P1 September 2014 Q1	6 marks
CA1-P1 September 2016 Q7	22 marks
CA1-P1 September 2018 spare Q6	13 marks
CP1-P1 April 2019 Q5	10 marks
CP1-P1 September 2020 Q3	8 marks
CP1-P1 September 2022 Q5	7 marks
CP1-P1 April 2023 Q1	5 marks

CA1-P1 | April 2007 | Q7

[Current topic](#) | [24 marks total](#) | [Original PDF p4](#)

Examiner report and original paper: use the links for this question in [index.html](#).

7 An insurance company writes all types of life assurance and pension business.

- (i) List the company's main expense items. [4]
- (ii) Describe how the company's direct and indirect expenses could be allocated and analysed between functions and product lines. [6]

The company is considering using a model that only allows for expenses to be expressed as a percentage of premium.

- (iii) Discuss this approach to allowing for expenses. [14]
- [Total 24]

CA1-P1 | April 2008 | Q2

Current topic | 12 marks total | Original PDF p2

Related: Ch 19.

- 2** (i) List the items that an insurance company would consider when determining the assumption for future expense inflation in its financial modelling. [2]

A life insurance company has estimated the unit costs for the following year based on its expense and new business volume budgets for the following year. Unit costs are:

- the per policy cost of maintaining each in force policy
- the expected cost per claim processed
- the cost per unit of new business written
- the cost of investment management as a proportion of funds under management

The unit costs vary with the type of contract, depending on the complexity and level of activity involved in various aspects of administration. Unit costs include allowances for overheads and other indirect costs.

- (ii) Describe how the company would use these expected unit costs to allow for future expenses in:

- (a) the valuation of liabilities at the coming year end;
- (b) re-pricing its major product lines.

You do not need to describe how the unit costs are derived.

[10]

[Total 12]

CA1-P1 | September 2014 | Q1

Current topic | 6 marks total | Original PDF p2

Related: Ch 30.

- 1** Describe with examples how an insurance company can manage expense risk. [6]

CA1-P1 | September 2016 | Q7

Current topic | 22 marks total | Original PDF p5

Related: Ch 34.

- 7** A large employer operates a defined benefits pension scheme for its employees. The employer has recently decided to close the scheme to new members and cease the accrual of future service benefits for existing members.

From now on, the scheme will operate as a stand-alone entity independent of the resources of and any obligations from the employer and any new pension arrangements the employer may choose to introduce.

- (i) Outline the regulatory pressures that may have influenced the decision to close the scheme. [5]

The Trustees of the scheme have set specific budgets for the various future expenses of operating the scheme.

- (ii) Explain why keeping within such budgets will be especially important in this situation. [3]

- (iii) Discuss the factors the Trustees should have considered when setting the expense budgets. [7]

Five years later on, the Trustees have reviewed the expenses that have been incurred during and since the closure of the scheme. This review has concluded that, over the period, expenses for investment management and professional services were significantly higher than assumed.

- (iv) Suggest, with reasons, why this overspend may have arisen and suggest options for reducing these expenses in the future. [7]
[Total 22]

CA1-P1 | September 2018 spare | Q6

Current topic | 13 marks total | Original PDF p3

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive.

- 6** A general insurance company writes a number of lines of business including motor and buildings insurance.
- (i) Discuss how the expenses incurred by the company can be categorised. [9]
- Some expenses are only incurred if certain events happen during the lifetime of a policy.
- (ii) Give two examples of these types of events for this business. [1]
- (iii) Discuss how these types of expenses should be allowed for in setting the premium basis. [3]
- [Total 13]

CP1-P1 | April 2019 | Q5

[Current topic](#) | [10 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 5**
- (i) Set out specific expense loadings that need to be considered for a long-term insurance contract. [5]
 - (ii) Describe how to carry out an expense analysis for the purpose of pricing a new long-term insurance contract. [5]
- [Total 10]

CP1-P1 | September 2020 | Q3

[Current topic](#) | [8 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** A retail bank is planning to set up a new insurance subsidiary, located in a previously unoccupied floor in the bank's head office.

Describe the types of expenses that the subsidiary would be expected to incur in its first 12 months. [8]

CP1-P1 | September 2022 | Q5

Current topic | 7 marks total | Original PDF p2

Related: Ch 19.

- 5** An insurance company has just reviewed its pricing assumptions. Following the review, the company revised the annual renewal expense pricing assumption on one of its products to £60 per policy. The average annual renewal expense for this product over recent years has been £85 per policy.

Discuss possible reasons why the annual renewal expense assumption has been set to be less than the average annual renewal expense over recent years. [7]

CP1-P1 | April 2023 | Q1

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Describe how an insurance company will express the different types of expenses it will include when pricing a home insurance protection product. [5]